Format of revaluation account is as follows:

Dr. **Revaluation Account** **Cr.**

Particulars	₹	Particulars	₹
To Concerned asset A/c (net decrease)	xxx	By Concerned asset A/c (net increase)	xxx
To Concerned liability A/c (net increase)	xxx	By Concerned liability A/c (net decrease)	xxx
To All partners' capital A/c (profit on revaluation shared in old ratio) *	xxx	By All partners' capital A/c (loss on revaluation shared in old ratio)*	xxx
	xxx		xxx

*There will be either profit or loss on revaluation.

Illustration 4

Ramya, Sara and Thara are partners sharing profits and losses in the ratio of 5:3:2. On 1st April 2018, Thara retires and on retirement, the following adjustments are agreed upon:

(i) Increase the value of premises by ₹ 40,000.

(ii) Depreciate stock by ₹ 3,000 and machinery by ₹ 6,500.

(iii) Provide an outstanding liability of ₹ 500

Pass journal entries and prepare revaluation account.

Solution

Journal Entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
2018 April 1	Premises A/c Dr.		40,000	
	To Revaluation A/c			40,000
	(Value of premises increased)			
,,	Revaluation A/c Dr.		10,000	
	To Stock A/c			3,000
	To Machinery A/c			6,500
	To Outstanding liability A/c			500
	(Decrease in value of assets and outstanding liability recorded)			
,,	Revaluation A/c Dr.		30,000	
	To Ramya's capital A/c			15,000
	To Sara's capital A/c			9,000
	To Thara's capital A/c			6,000
	(Profit on revaluation distributed)			

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